SCHEDULE S

STANDBY SERVICE

APPLICABILITY

Applicable for service to any customer with an electric generator that is operated in parallel with the Utility. If another Rate Schedule provides for applicable service to the customer as an option, then this Rate Schedule will become an option to that customer. The service provided on this Rate Schedule is standby or breakdown service where all or part of the customer's electrical requirements are supplied by a generation source, other than the Utility, which is located on the customer's premises. This schedule is not applicable to customers who have chosen, in the generation agreement, to sell power to the Utility on a simultaneous purchase and sale basis.

Solar Customers who are taking service under the Utility's Net Energy Metering (NEM) or Net Billing tariffs (NBT) are exempt from standby charges. In addition, Solar Customers which are less than or equal to one megawatt to serve load and who do not sell power or make more than incidental export of power into the Utility's power grid are also exempt from standby charges. Non solar customers taking service under one of SDG&E's NEM schedules or NBT may be exempt from standby charges pursuant to PU Code Section 2827. T T T

The capacity reservation component (referred to as Contract Demand) charges of standby service may be suspended for Low Variability Microgrid Standby Customers, as described in Special Condition 15, who execute and comply with the Application for Contract Demand Charge Suspension (Form 142-05221) and meet certain performance standards as described in Special Condition 16. Low Variability Microgrid Standby Customers shall be subject to a Demand Assurance Amount, as described in Special Condition 17, if demand exceeds their Contract Demand amount. Separate rates and tariffs shall not compensate a Low Variability Microgrid Standby Customer for the use of diesel backup or natural gas generation, except as either of those sources are used pursuant to Section 41514.1 of the Health and Safety Code, or except for natural gas generation that is a distributed energy resource. P P

TERRITORY

Within the entire territory served by the Utility.

(Continued)

SCHEDULE S

STANDBY SERVICE

RATES

Description - S	Transm	Distr	PPP	ND	CTC	LGC	RS	TRAC	UDC Total
Contract Demand ($/kW)									
Secondary	7.42	25.14 R					0.00		32.56 R
Primary	7.19	25.01 R					0.00		32.20 R
Secondary Substation	7.42						0.00		7.42
Primary Substation	7.19						0.00		7.19
Transmission	7.15						0.00		7.15

Regular Schedule Charges (to be added to Standby Charge):
The charges as determined under the regularly filed schedule applicable to the service rendered.

Minimum Charge

The monthly minimum charge shall be the standby charge plus the minimum charge provisions of the regularly filed schedule applicable to the service rendered.

Rate Components

The Utility Distribution Company Total Rates (UDC Total) shown above are comprised of the following components (if applicable): (1) Transmission (Trans) Charges, (2) Distribution (Distr) Charges, (3) Public Purpose Program (PPP) Charges, (4) Nuclear Decommissioning (ND) Charge, (5) Ongoing Competition Transition Charges (CTC), (6) Local Generation Charge (LGC), (7) Reliability Services (RS), and (8) The Total Rate Adjustment Component (TRAC).

Utility Distribution Company (UDC) Total Rate shown above excludes any applicable commodity charges associated with Schedule EECC (Electric Energy Commodity Cost).

Certain Direct Access customers are exempt from the TRAC, as defined in Rule 1 – Definitions.

Franchise Fee Differential

A Franchise Fee Differential of 5.78% will be applied to the monthly billings calculated under this schedule for all customers within the corporate limits of the City of San Diego. Such Franchise Fee Differential shall be so indicated and added as a separate item to bills rendered to such customers.

Exemption

Customers that are eligible for service under Schedule NEM, Schedule NEM-BIO, NEM-FC, and NBT are exempt from taking service under this Schedule to standby for the generator(s) that make the customer eligible for NEM or NBT.

(Continued)

SCHEDULE S

STANDBY SERVICE

SPECIAL CONDITIONS

1. Definitions: The Definitions of terms used in this schedule are found either herein or in Rule 1.

   a. Capacity Factor: Ratio of energy actually produced by a generating unit to the maximum amount of energy it could produce over the course of a year.

   b. Low Variability Microgrid Standby Customer: A customer who operates a microgrid interconnected under SDG&E's Rule 21 and under a retail tariff, where the microgrid's generation and storage resources meet certain performance standards as described in Special Condition 16, including resources that use natural gas as a fuel.

   c. Self-Supply Factor: Ratio of electricity actually produced by the customer's microgrid to the total amount of electricity consumed at the customer's site, regardless of source, over the course of a year.

   d. Availability: The number of hours a resource is either producing electricity or available to produce electricity divided by the total hours in a year.

   e. Non-Renewable Resources: Resources that are not defined as renewable in the latest version of the California Energy Commission's (CEC's) Renewables Portfolio Standard (RPS) Eligibility Guidebook and the Overall Program Guidebook.

2. Waivers. Any provisions in the customer's applicable regularly filed schedule prohibiting standby service or parallel operation are specifically waived.

3. Contract/Generation Agreement. This schedule shall apply to any customer with an executed Contract or Agreement permitting the operation of the generator in parallel with the Utility.

4. Contract Demand. The level of Contract Demand shall be established by Contract or Agreement. The level of Contract Demand shall be determined by SDG&E and shall be the lower of (a) the nameplate capacity of the customer's generating facility; or (b) SDG&E's estimate of the customer's peak demand.

5. Scheduled Maintenance. When a customer schedules a maintenance shut down of their generation facility in advance, with the concurrence of the Utility, the on-peak demand charge (if one exists) of their regular time-of-use schedule may be waived up to the contracted standby level attributable to the idled generation facility.

6. Excess Energy. The operator of a cogeneration or small power production source which meets the criteria for a qualifying facility as defined under 18 CFR, Chapter 1, Part 292, Subpart B of the Federal Energy Regulatory Commission (FERC) regulations, and whose source is connected in parallel with the Utility's facilities may sell power to the Utility under terms of the generation agreement and the Utility's standard price offer as applicable.

(Continued)

SCHEDULE S

STANDBY SERVICE

SPECIAL CONDITIONS (continued)

7. Refusal of Standby Service. The utility reserves the right to refuse service to demands normally served by customer generation where supplying such service could cause or contribute to a system emergency.

8. Temporary Discontinuance of Service. Where the use of energy is seasonal or intermittent, no adjustments will be made for a temporary discontinuance of service. Any customer prior to resuming service within 12 months after such service was discontinued will be required to pay all charges which would have been billed if service had not been discontinued.

9. Interconnection Facilities-Parallel Generation. Installation and maintenance of the Interconnection Facilities shall be in accordance with the Contract/Generation Agreement.

10. Credit for Contributions to Distribution Facilities: Pursuant to Ordering Paragraph 5. of Decision 87-12-069, a customer taking service under this schedule will be granted a credit, if the special service charges paid by the customer under Rule 21 cover the cost of some portion of the normal distribution facilities which the customer was required to pay under Rules 15 or 16. The credit granted will be $0.50 (fifty cents) per kilowatt (Kw) per month of contracted standby service. This credit will be applied to the customer's normal standby charge.

11. Service Restriction: Customers electing to receive standby service are required to take all service under the same rate schedule.

12. Billing: A customer's bill is first calculated according to the total rates and conditions listed above. The following adjustments are made depending on the option applicable to the customer:

    a. **UDC Bundled Service Customers** receive supply and delivery services solely from the Utility. The customer's bill is based on the Total Rates set forth above. The EECC component is determined by multiplying the EECC price for this schedule during the last month by the customer's total usage.

    b. **Direct Access (DA) and Community Choice Aggregation (CCA) Customers** purchase energy from a non-utility provider and continue to receive delivery services from the Utility. The bills for a DA and CCA Customer will be calculated as if they were a UDC Bundled Service Customer, then crediting the bill by the amount of the EECC component, as determined for a UDC Bundled Customer, and including the appropriate Cost Responsibility Surcharge (CRS), if applicable.

    Nothing in this service schedule prohibits a marketer or broker from negotiating with customers the method by which their customer will pay the CTC charge.

(Continued)

SCHEDULE S

STANDBY SERVICE

SPECIAL CONDITIONS (continued)

13. Generator Output Meter: Customer shall provide for the installation of a meter(s) that register the net output of an electric generator on customer's property.

14. Multiple Tariff Facilities: Customers with Generating Facilities that are comprised of multiple generators that apply different tariffs, and with at least one generator that qualifies for a SDG&E NEM or NBT tariff, and where all of the generators are served through the same Point of Common Coupling as defined in SDG&E's Rule 21, may be eligible for standby exemption for a portion of their standby requirement. Such exemption will be granted per the Otherwise Applicable rate Schedule (OAS) and per California Public Utility Code Sections 353.1 and 353.3. The customer will be billed under its OAS, and Special Conditions 1 through 7 of this Schedule S will not apply to the eligible generating portion qualifying for standby exemption.

15. Low Variability Microgrid Standby Customers Provisions of Service: Customers with new load site with new generation, existing load site with new generation, and existing load site with existing generation that meet specific performance standards as stated in Special Condition 16, Low Variability Microgrid Project Performance Standards and must be comprised of distributed energy resources, such as an electric generators and/or storage technology, that each individually complies with the emissions standards adopted by the California Air Resource Board, pursuant to the distributed generation certification program requirements of Title 17 of the California Code of Regulations Section 94203 and/or its successor regulations. Diesel technologies are explicitly ineligible. For demonstrating ongoing compliance with the first emissions criteria [on p. 45 of D.21-07-011 stated in both Special Condition 16 and in Schedule S] and Form 142-05221, Low Variability Microgrid Standby Customers shall annually, upon both application and renewal, provide the utilities with either: 1) certification from the CARB that the microgrid resource receiving a standby charge exemption continues to be certified, or has been re-certified, by the State Air Resources Board; or 2) independently verified, reputable third-party bench test data demonstrating that the resource continues to meet the emissions standards adopted by the State Air Resources Board, regardless if the resource is required to obtain certification and annually thereafter. To satisfy 2), the customer may provide to the IOU:

    a) the annual emissions report the customer transmits to the customer's local air district;
    b) the same information requested of the customer by the Air Pollution Control Officer regarding emissions from the equipment; or
    c) an attestation under penalty of perjury that the periodic emissions information they are providing is accurate

    Failure to comply with the emission criterion shall result in immediate termination from the standby charge suspension. A Customer terminated as being a Low Variability Microgrid Standby Customer due to failure to submit proper recertification documentation in a timely manner will be eligible to re-apply for suspension of the Contract Demand charge no earlier than one year from date of termination by SDG&E. Suspension of the standby charge shall be effective on the date SDG&E determines the Low Variability Microgrid Standby Customer's application is in compliance with all applicable requirements.

    Low Variability Microgrid Standby Customers must not have received, or be expected to receive, an incentive payment through the Self-Generation Incentive Program unless it can demonstrate incremental benefit. However, the Low Variability Microgrid Project could demonstrate that the operation of the microgrid would be functionally different than otherwise operated in absence of the waiver in order to still qualify.

(Continued)

SCHEDULE S

STANDBY SERVICE

SPECIAL CONDITIONS (continued) N

15. Low Variability Microgrid Standby Customers Provisions of Service (continued)

Low Variability Microgrid Standby Customers are not required to physically separate their system from the Utility's distribution system or reduce load in the event their onsite microgrid generators are unable to serve load and in order to prevent their load from being served by the Utility distribution system and avoid overloading the utility system.

Low Variability Microgrid Standby Customers can demonstrate compliance with the Low Variability Microgrid Performance Standards by submitting an independently verified, reputable third-party bench test data over a shorter time period that when extrapolated would meet the performance standards, real-time operating performance data from substantially similar equipment meeting the performance standards, and actual real-time operating performance data documenting that the Customer's operation of the Low Variability Microgrid continues to comply with the performance standards and semiannually thereafter. Failure to maintain semiannual certification of the Low Variability Microgrid Performance Standards to the Utility shall result in immediate termination from the standby charge suspension. A Customer terminated as being a Low Variability Microgrid Standby Customer due to failure to submit proper recertification documentation in a timely manner will be eligible to re-apply for suspension of the standby charge no earlier than one year from date of termination by SDG&E. Suspension of the standby charge shall be effective on the date SDG&E determines the Low Variability Microgrid Standby Customer's application is in compliance with all applicable requirements.

Low Variability Microgrid Standby Customers can demonstrate with the second emissions criterion stated below in Special Condition 16, the Utility must accept the manufacturer's credible documentation of the ability of the equipment to operate using one or more renewable fuels while meeting all applicable performance standards.

Low Variability Microgrid Standby Customers can demonstrate compliance with the third emissions criterion stated below in Special Condition 16, language stating the Customer's commitment for its microgrid to use renewable fuel by December 31, 2030, if reasonably practicable and feasible. Customer must submit a progress report to the Utility at www.SDGE.com/resiliency their activities to meet this commitment by January 1, 2025.

Low Variability Microgrid Standby Customers are required to provide, own, install, and maintain all facilities necessary to accommodate any metering equipment specified by SDG&E, including but not limited to, net generation output metering (NGOM), and data monitoring equipment. Notwithstanding the NGOM provisions set forth under Electric Rule 21, Section J.3, data from these meters shall provide, at a minimum, monthly values measurement data required to validate calculations for the operating performance requirement of this Schedule S.

Information provided by the Low Variability Microgrid Standby Customer is subject to verification by the Utility. Refusal or failure of a Low Variability Microgrid Standby Customer to provide eligibility information upon request by the Utility in the form of written approval or certification by the Utility shall delay the provisions of service.

Low Variability Microgrid Standby Customer are required to submit the Application for Contract Demand Charge Suspension (Form 142-05221). N

(Continued)

SCHEDULE S

STANDBY SERVICE

SPECIAL CONDITIONS (continued)

16. Low Variability Microgrid Project Performance Standards:

Variability:

a. Capacity Factor of the microgrid, as a whole, is greater than 85 percent or Self-Supply Factor of the microgrid, as a whole, is greater than 85 percent; and
b. Availability of the microgrid, as a whole, is greater than 95 percent.

Emissions:

a. Non-renewable microgrid resources shall each individually comply with the emissions standards adopted by the State Air Resources Board pursuant to the distributed generation certification program requirements of Section 94203 of Title 17 of the California Code of Regulations, or any successor regulation, regardless of if the resource is required to obtain certification, pursuant to the California Air Resources Board (CARB) distributed generation program;
b. Non-renewable resources have the technical capacity to operate using at least one renewable fuel, such as, but not limited to, renewable natural gas, biogas, and green hydrogen at the time of application for the suspension;
c. Low Variability Microgrid Standby Customers utilizing non-renewable resources must commit at the time of application for the suspension to converting to and exclusively utilizing renewable fuels, as reasonably feasible and practicable, by December 31, 2030; and,
d. Low Variability Microgrid Standby Customers must submit the following information to the Utility on their progress to transitioning to renewable fuels: (a) status of renewable fuel use by percentage at the time of the report and b) activities under way for procurement of renewable fuels for all use by the microgrid by December 31, 2030. Customers must submit this report to the utility January 1, 2025. The utility will then submit an aggregated report to the Commission in a Tier 1 Advice Letter by March 1, 2025.

(Continued)

SCHEDULE S

STANDBY SERVICE

17. Demand Assurance Amount Applicable to Low Variability Microgrid Standby Customers

Should the Low Variability Microgrid Standby Customer who is receiving the Contract Demand charge suspension suffer a generation failure, or cannot serve its load, it may rely on the Utility's system. In exchange for the ability to rely on the grid in these unique instances, the Low Variability Microgrid Standby Customer shall pay, directly to the Utility, a Demand Assurance Amount for the service that the Utility's system provides during its generation failure. The Demand Assurance Amount is applicable to all Low Variability Microgrid Standby Customers, consistent with the following:

a. For capacity used in any month that exceeds the reservation capacity, an excess demand charge shall be imposed at two times the tariffed Contract Demand charge ($/kW) that would have applied in the absence of the waiver during the month that the Contract Demand was exceeded.

b. The Contract Demand amount will be set at the maximum expected demand in excess of the demand regularly served by the Utility based on the best available information. In determining the maximum expected demand, the Utility will consider the documentation provided by the customer to satisfy the performance standards.

c. Low Variability Microgrid Customers receiving the Contract Demand charge suspension must notify the Utility at least five (5) business days in advance of any planned outage (e.g., maintenance) of the microgrid.

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